

NO EMPLOYEE BENEFITS? NO PROBLEM! HOW TO THRIVE FINANCIALLY AS A SELF-EMPLOYED MUSICIAN

By Lydia Miller Choorapuzha 

Introduction

As a mid-career freelance violinist and studio teacher with bachelor's and master's degrees in music, my formal financial education has been minimal. When I was in my twenties, my financial skills were adequate for my minimal responsibilities (i.e., I did not own a house and I did not have a family to provide for). As the years went on and my financial life included such tasks as buying a house, paying down student loans, and raising children, I read books and articles, listened to podcasts, and learned a great deal about personal financial literacy. But in 2016, my learning accelerated significantly when we bought my husband's dental practice. Managing it demanded a high level of financial and business expertise, and the workload was too much for him to handle on his own. As I strengthened my business knowledge to support the success of his practice, I saw parallels between his office and my work as a classical musician. Applying that knowledge to my private studio and freelance career resulted in greater financial success for me. I recognize that not every independent musician and studio teacher will have a great interest in personal finance or small business strategies. Therefore, I am dedicated to sharing my knowledge in the hope that fellow musicians can achieve greater financial stability and build sustainable long-term careers in classical music. When there are more professionals available to perform, teach, and mentor, future generations will experience the life-changing benefits of classical music.

Today's studio teachers face significant challenges such as recruitment, retention, and remaining relevant in a society that seems more and more focused on technology and the virtual world. The most significant obstacles, which seem to be the ones that cause most musicians to leave the profession, are the financial challenges that come with self-employment in the arts field. Employers provide steady income, pay taxes on the employee's behalf, and offer insurance and retirement savings options. Self-employed musicians and studio teachers do not have the same compensation packages as those with an employer. Instead, they must develop strategies for budgeting with unsteady income, develop and implement a retirement savings plan, accurately pay taxes, and purchase insurance plans, such as health, disability, and instrument. With strategies in place, it is possible for self-employed musicians to survive and thrive financially. In this article, we will look at the challenges and obstacles and then create a roadmap for long-term financial success.

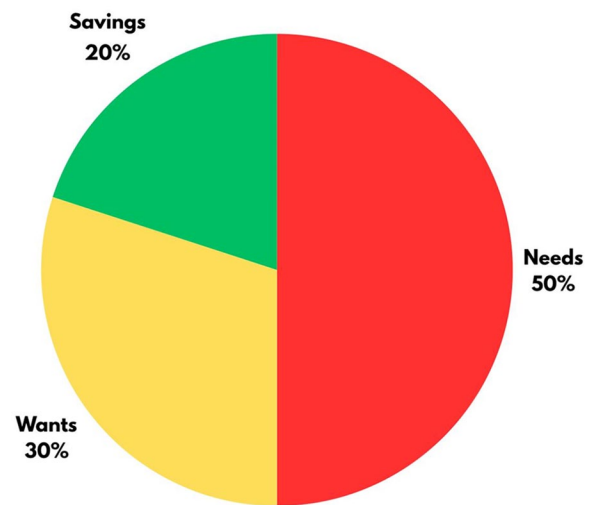


Figure 1. 50/30/20 Model.

Managing Cash Flow

It is essential to track your monthly income and expenses (Stanley & Danko, 2010). Budgeting can often feel overwhelming, leading many to avoid thinking about it altogether. If all of the bills for the month are covered, a budget does not matter, right? Think about the amount of time and energy you devoted to earn each of your dollars; it is important to give those dollars a purpose so they work for you. When spent intentionally, each of your dollars will contribute to your long-term financial success. Your dollars are your orchestra and you are the conductor; find joy in the power you have to direct them!

Today, there are many free and low-cost budget tools in the form of online applications. Some connect to your bank and credit card statements so little data entry is required on your part. If you are comfortable with Excel or Google Sheets, a simple spreadsheet is free and serves the same purpose: tracking all money that comes in and goes out. Spending a few minutes a day looking at your budget is all that is needed to put you in control of the flow of your dollars.

When determining your monthly budget, a good starting place is the commonly recommended 50/30/20 model (Preston & Hanson, 2006, see Figure 1): 50 percent of your income for needs, 30 percent for wants, and 20 percent for

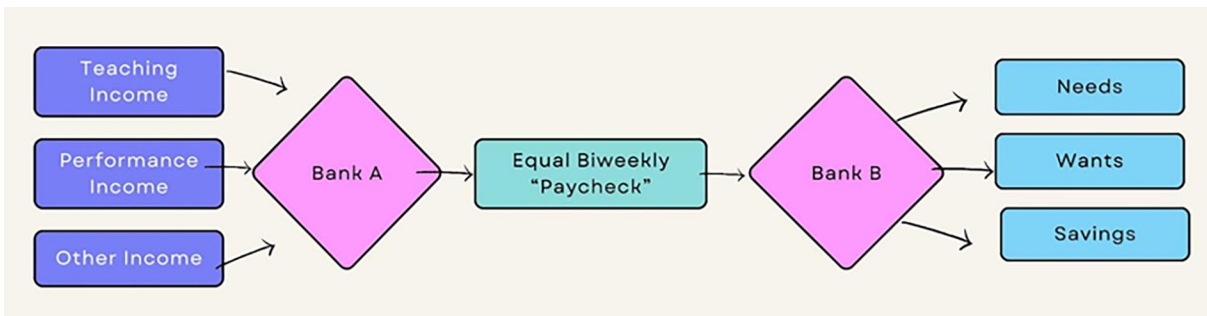


Figure 2. Two bank system.

savings. Your needs will include monthly necessities such as food, housing, and transportation, and also semi-annual payments such as insurance premiums and estimated tax payments. Wants includes everything you do not need but enjoy, such as subscription services, clothes, and eating at restaurants. Where to put your savings dollars will be determined by the Financial Sequence of Success, which will be outlined and explained shortly. (If you cannot save 20 % of your income today, don't panic! Start with whatever you can save today, and increase little by little until you get to 20%.)

A successful business owner knows both their monthly overhead and anticipated revenue for the month. Borrowing from the business world, it can be helpful to work backward when looking at monthly and annual cash flow. How much money do you need to make each month/year to meet all of your financial obligations, and how much do you have coming in? Looking at your cash flow versus overhead puts you in a position of control when determining how to manage your time. For example, if you know you need to earn \$4,000 per month and you have \$3,600 coming in, you need to add a new student to your studio or call local contractors (i.e., churches, wedding venues, or other musicians) you have worked for to see if you can pick up a gig. Conversely, if you know you are going to earn \$4,000, you can say no to additional work with confidence, ensuring you do not burn out. Let's say a prospective new student calls, and they sound like your ideal student. If you know you do not have to teach them but choose to add them to your studio because you are excited to teach them, you will have a different relationship with that student than if you add them to your already full schedule because you *think* you need the money.

Creating a "Salary"

Once you have a firm understanding of your monthly cash flow, you can set up your bank accounts to mimic a salaried job. To accomplish this, you will need two bank accounts, either at the same bank or two different banks (Barrett 2016, Sloan 2022, see Figure 2). Deposit all of your income into Bank A. Then pay yourself a bi-weekly salary from Bank A into Bank B. If we continue with our example of a \$4,000 monthly

budget, you will deposit \$2,000 every two weeks into Bank B. As long as you track your monthly income and make sure you are earning at least \$4,000 every month, you will be able to pay yourself a consistent salary, thus making your cash flow and budgeting much easier! Continue to pay yourself the same amount, regardless of your actual income—remember this is your salary determined on an annual basis by your budget, not an account you spend down to \$0 each month.

Should you find that extra cash accumulates in Bank A over the course of the year, you will have happy choices to make at the end of the year. For example, if you have an extra \$2,000 at the end of the year, you may plan for a paid vacation the following year! That is two weeks of salary you can afford to pay yourself even if you do not have income for those two weeks. Another possibility is to give yourself a year-end bonus. Since all your needs have been met throughout the year, you can use this bonus intentionally—perhaps allocating half toward your retirement savings and using the other half to purchase that new piece of furniture you've been wanting. Keeping to your "salary" will give you choices and control over your dollars, ensuring they are working for you. But how can your dollars work for you? Let's dig deeper into your savings.

Financial Sequence for Success

Financial success takes many years to achieve, especially for those with medium or lower income. When mastering our instruments, we learn that small amounts of effort over long periods of time equal great achievement. By applying that same principle to our finances—small amounts of effort over long periods of time—long-term financial security and a comfortable retirement become attainable (Collins 2023). The following five steps will help secure your financial health today, tomorrow, and through your retirement. Spend a small amount of time each day and/or week monitoring your budget and using the sequence to determine where to put your 20 percent savings. There is nothing fancy or complicated about these steps, it just involves patience, dedication, and consistency. While these steps are tailored to musicians who are largely self-employed, the basic ideas are applicable to musicians with any means of income.



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Step One: Emergency Fund Covering Six to Twelve Months Living Expenses

One of the most well-known financial gurus, Dave Ramsey, recommends an emergency fund of \$1,000 (Ramsey 2009, Ramsey 1992). I think this is far too low for musicians who support themselves or families and do not have paid leave from an employer! Consider who relies on your income and what would happen if you could not earn that income for a period of time. For example, if you fell, broke your arm, and needed surgery you may not be able to teach for three weeks and you may not be able to perform for four months or more. Your emergency fund needs to be able to cover the loss of income and additional expenses you may have so you do not incur debt while you are recovering. Therefore, I recommend six to twelve months in your emergency fund. Going back to our \$4,000 monthly budget, that means your emergency fund should have \$24,000–\$48,000. Building this up will take time so do not worry about having it all saved today. Instead, focus on making daily choices that will lead you to your goal. If you are following the 50/30/20 model on your \$4,000 budget, you are allocating \$800 per month toward savings. It will take you 2.5 years to save \$24,000 in your emergency fund. If you end up with a couple thousand dollars extra in your Bank A account at the end of the year, you can choose to put it toward your emergency fund and hit your goal sooner. Little by little, month by month, you will get there and then you will have financial security, knowing that a car repair, a home repair, or a period of lost income will not cause you and your family financial disaster.

The choice of where to put your emergency fund is an important one. You want your money to grow, yet be accessible at any time. Therefore, the choices are a bank savings account or an online high yield savings account. A high yield savings account is a great option as these accounts are currently paying close to 5 percent interest, substantially more than regular banks that are paying 0.01 percent. If you put \$24,000 into an account earning 5 percent and are able to leave it for ten years, you will have close to \$40,000, assuming

the interest rate stays the same. Compounding interest over a long period of time is one of your greatest tools for financial success! The other advantage to having your emergency fund in an online account, as opposed to a local bank, is that it usually takes one to three days for the funds to transfer to your regular checking account. If you might be tempted to pull from your emergency fund for a non-emergency, such as new boots or an extra vacation, the delay will give you time to pause and consider your decision.

Step Two: Savings to Cover Insurance Deductibles

The deductible is the amount you are responsible for before your insurance pays on your behalf. Include all of the insurance policies you carry, such as auto, home, health, and instrument. Your insurance deductibles must be saved in addition to your emergency reserves and here is why. Let's say you are on your way to teach and you are in a car accident. Your wrist is broken, you need surgery, and you will not be able to work for a month. Your car needs repairs, you will have medical bills, and your instrument was damaged in the accident. In this scenario, you will need your emergency fund to cover your living expenses until you can get back to work but you will also need cash to cover the deductibles for your car, health, and instrument insurance. Having your insurance deductibles set aside in addition to your emergency fund will protect your long-term financial security.

Step Three: Pay Off High-Interest Debt

I consider any debt with an interest rate above 5 percent to be high-interest debt. (If you have debt with an interest rate under 5%, it can be financially advantageous to keep that debt if your investments are earning more than 5%). As you work to pay off these debts, take note of past choices you made that caused you to accrue the debt, and consider changes you can make so the debt does not recur. There are different strategies for paying down debt. One strategy is to pay off the smallest total first, then roll that payment into the next highest amount of debt. As you pay off debts, the payments will become larger, helping you to pay off the debt faster. This can be a very effective strategy from an emotional standpoint as you will experience “wins” of paying off debts more quickly since you are starting with the smallest balances. A more financially savvy way to approach debt is by the interest amount—pay off your highest interest debt first as that is the debt that is costing you the most money. Consider both options and choose the one that will help you achieve your goal of paying off your high-interest debt.

Step Four: Max Out Retirement Savings

One of the advantages of having a single employer and earning on a W2 is that most employers include a retirement plan with automatic contributions as part of their benefits package. When you do not have an employer managing your retirement savings for you, it is critical that you take on this task! Having a well-funded retirement account does not force you to retire at a certain age; it provides you with financial stability should you choose or be required to stop working.

(The majority of people who leave the workforce do so because of health or other reasons, not because they choose to do so). Setting up a low cost Individual Retirement Account (IRA) at an investment firm such as Vanguard or Fidelity is quick and simple: do it yourself online or call customer service for assistance. It is important to remember that an IRA is an Individual Retirement Account—regardless of your relationship status, you should have your own retirement account. The IRS does not view these as jointly held assets and neither should you! Having your own retirement account maximizes your tax savings and provides for you in the future.

The primary types of retirement accounts are Roth and Traditional IRAs. Think of Roth and Traditional IRAs as two different types of vessels where you will be able to choose how to invest your money. The difference between these vessels is when and how the money is taxed. With a Roth IRA, you pay income taxes on the money today at your current tax rate, invest it how you choose, and you do not pay any taxes on the funds when you withdraw the money in retirement, including the principal (the money you put into the account) and the growth. If you are young and invest for a long period of time, there can be a significant amount of growth that you will not have to pay taxes on! This is an excellent retirement account option, but there are income limits. As of tax year 2024, if you make more than \$161,000 (or \$240,000 as a couple), you cannot contribute to a Roth IRA. A Traditional IRA does not have any income limits, and the tax structure is reversed. When you contribute to a Traditional IRA you receive a tax deduction today, but when you withdraw the money in retirement you will be taxed on both the principal and growth.

The amount one can contribute to their IRA changes year to year. Visit irs.gov to search for the current year's limits, divide that number by twelve, and add it as a line item to your monthly budget. If you are not able to contribute the maximum today, start with what you can contribute and create a plan to increase to the maximum over the next few years. Within your retirement account, you can choose how to invest your money. Vanguard and Fidelity both offer low cost, broad-based mutual and index funds. For example, VTSAX is Vanguard's Total Market Fund—it mirrors the US stock market meaning the performance will reflect that of the US stock market. The fee is 0.04 percent; in other words, it is basically free. This is the type of fund you can confidently buy and hold for many years; over the last thirty years, the return has been over 10 percent which is solid (Bogle 2017). For more information on simple portfolios you can manage yourself, I recommend reading *The Simple Path to Wealth* by JL Collins (Collins 2016). If you choose to use a financial advisor, look for a fee-only financial advisor who will charge you a set amount or hourly rate to design your portfolio. If you opt for a broker to actively manage your accounts, you will likely pay at least 2 percent (1% or more of the value of your portfolio to the broker and at least 1% in management fees on the funds they purchase), which can have a significant impact on your long-term savings.

Depending on the type of health insurance plan you have, another retirement vehicle may be available to you! The

health insurance plans with the lowest monthly costs, or premiums, are usually high deductible plans. These plans cover basic preventative care, but if you need to be treated for an illness or injury, you will have to pay a large deductible before your insurance kicks in. To help you pay your deductible, you can save money in a health savings account, or HSA. While not designed as retirement accounts, they can function as such if you are able to pay for your medical care without pulling money from your HSA. Some HSA providers, such as Fidelity and HealthEquity, allow you to invest some or all of your funds into the stock market, thus allowing your money to grow over time. In 2024, the contribution limit was \$4,150 (or \$8,300 for a family insurance plan); the funds must be used to cover medical expenses, but there is no time limit on when you need to use the funds. In other words, if you have a medical bill tomorrow but are able to cash flow it, you can reimburse yourself for that bill with money from your HSA at any time in the future as long as you have the receipt to file with your taxes.

An HSA can provide a triple tax advantage: the funds you deposit are a tax deduction, if you invest the funds in your account into the stock market the growth is tax free, and when you withdraw money for eligible medical costs they are not taxed. If you are over 65, you can withdraw from your HSA for non-medical reasons without penalty and the money will be taxed at your current income rate, which will likely be low if you are retired. If used in this way, your HSA will function the same as a Traditional IRA, but instead of putting away just \$7,000 per year you are able to save over \$11,000 per year (per 2024 contribution limits). Compounded over your working years, this will have a huge impact on your retirement savings. If you intend to let your HSA money grow over time, make sure the HSA provider you select allows you to invest in low cost, broad-based index funds.

Step Five: Accumulation

If you have reached step five of this sequence, congratulations! You are on very solid financial footing and have achieved financial success! Now that your debts are paid off, you are able to withstand financial emergencies, you have adequate insurance and can cover your deductibles, and your retirement savings are growing, you can make choices regarding how you want to spend your extra earnings each year. Some options include saving for your kids' college expenses, making home improvements, paying off your mortgage early, or even taking a sabbatical. An unexpected bill, such as a car repair or a broken water heater in your home, will not send you into debt or cause you to struggle to pay your bills that month. You have the resources to cover the unexpected and you can see a wonderful retirement on the horizon.

Conclusion

Intentional decisions, made every day throughout your working years, will give you financial stability, even if you

are not a high-income earner. Giving each dollar you earn a purpose in your bigger financial picture will improve the cash flow of your household, preparing you for the unexpected while securing your finances throughout your life. This is not to say that you cannot enjoy your hard-earned money, but understanding your whole financial picture will allow you to make well-informed decisions! It is not easy, but remember that we are all in this together—the more successful you are, the more our musical community grows, creating a more beautiful world for us all.

ORCID iD

Lydia Miller Choorapuzha  <https://orcid.org/0009-0000-7995-8809>

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Violinist Lydia Miller Choorapuzha (lydiam30@gmail.com) is a sought-after performer, teacher, and lecturer. She resides in the Pittsburgh area where she teaches and serves as chair of the String Department at the PYCO School of Music in Wexford. As a member of the prestigious College of Examiners of the Royal Conservatory of Music in Toronto, she serves as an adjudicator for the Royal Conservatory of Music's Certificate Program and a facilitator for RCM's online course, Teaching Elementary Violin. Lydia preserves as much time as possible to spend with her wonderful husband, Jason, and their two boys, Mark and Adam.



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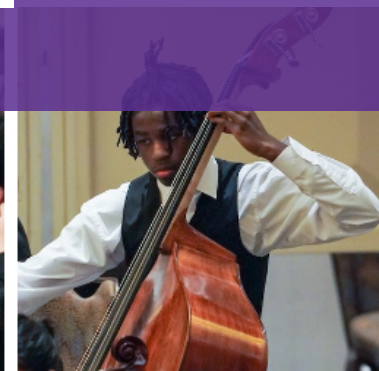
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